Point-of-Use Water Operating Benchmark

SUBVERTICAL LENS	The core archetype is Quench's workplace point-of-use model: installed, provider-owned filtration equipment for a recurring fee. Route density and recurring billing support margins, while equipment ownership, service intensity and customer-site turnover constrain conversion and tenure.

METRIC	ESTIMATE	ASSERTION	CONFIDENCE
Revenue growth	**8%**	The 8% estimate sits below Quench's 13.6% organic growth in 2019 because that result is dated and current workplace demand is more exposed to office occupancy. Primo's Refill/Filtration growth is not a clean filtration-only measure.	MEDIUM
EBITDA margin	**28%**	The 28% estimate is anchored directly to Quench's 2019 result of $32.4 million of EBITDA on $115.2 million of revenue. Recurring fees support the margin, while technicians, travel, filters, sanitation and repairs constrain it.	MEDIUM
Maintenance capex / revenue	**Not estimated**	Sustaining capital should rise with provider-owned unit age, filter and sanitation frequency, service-call intensity and a dispersed route footprint. It should fall with standardized long-life equipment, dense routes, high reuse after redeployment and customer-funded site work.	LOW
Customer tenor INITIAL / EFFECTIVE	Initial / effective **1-12 mos / Not est.**	Initial tenor of 1-12 months reflects Quench's month-to-month rentals and Primo's flexible cancellation. Effective tenure is not estimated because neither company discloses churn cohorts or average customer life. It should lengthen with plumbing, included service and multi-unit relationships, and shorten with office closures, moves, downsizing, rebids, poor service and flexible cancellation.	MEDIUM
Utilization exposure	**Moderate overall**	Exposure is Moderate because fixed fees decouple revenue from water consumption, but a returned machine earns nothing until redeployed. Office occupancy, route density and productivity across Quench's 500-plus technicians remain meaningful variables.	LOW
New-unit / customer payback	**Not estimated**	Payback should shorten when recurring fees and units per customer are high relative to equipment, installation and acquisition cost, especially within dense routes and long-lived accounts. It should lengthen with plumbing complexity, frequent service, customer churn, idle redeployment time and low technician density.	LOW
B2B vs B2C	**Predominantly B2B**	The core model is predominantly B2B because Quench explicitly serves workplaces and directs residential users elsewhere. Primo broadens the universe into homes and other channels, but its exact filtration customer mix is undisclosed.	HIGH

Directional framework shown where a point estimate is unsupported.

Point-of-Use Water Operating Benchmark

SUBSECTOR CATEGORIES

Workplace POU filtration
AquaVenture Holdings / Quench

Diversified water platform
Primo Water

AquaVenture Holdings / Quench

WORKPLACE POU FILTRATION

Reference data. FY2019 Quench had about 160,000 company-owned rental units and 55,000-plus customers (2.9 units per account), with $115.2 million revenue, $32.4 million adjusted EBITDA and 13.6% organic growth. Rentals are primarily month-to-month with fixed fees including maintenance and filters, supported by 500-plus technicians. Official materials identify Quench as workplace B2B and direct residential users to Culligan; churn, replacement cycles, installed cost, unit contribution and capex are unavailable.

Business. The relevant AquaVenture operation is Quench, excluding Seven Seas Water and desalination. Quench USA, Inc., now a Culligan subsidiary, installs company-owned filtration dispensers for institutional and commercial workplaces in the U.S. and Canada. Fixed-fee plumbed filtration replaces bottle storage, handling, and delivery.

Economics. The core unit is a machine; CAC and tenure sit at the customer location. Monthly rent includes maintenance and filters; installation may be separate. Multiple machines spread account setup cost. More than 500 technicians install, inspect, sanitize, change filters, and repair, making route density central. Working equipment, included service, predictable bills, and re-plumbing support retention; office closure, relocation, downsizing, hybrid work, rebids, and poor service cause churn. Returns require recovery, refurbishment, and reinstallation before earning again.

Primo Water

DIVERSIFIED WATER PLATFORM

Reference data. FY2023 combined Refill/Filtration revenue was $226.9 million versus $192.0 million, so filtration growth is not separable. Customer equipment had $235.0 million net book value and 2-15-year lives but included non-filtration assets. Plans start at $27.99 monthly; cancellation without penalty is permitted after the rescission period and takes effect after the next full billing period. Current materials market to homes and businesses, but the mix and filtration-only EBITDA, capex and payback inputs are unavailable.

Business. Primo Water's installed filtration offer now sits inside Primo Brands after the November 2024 transaction. It places company-owned carbon or reverse-osmosis systems in homes and businesses, with floor, countertop, and under-sink formats from $27.99 monthly. It solves taste and convenience needs without bottle logistics or self-managed maintenance.

Economics. The core unit is a filtration system; the account governs CAC and cross-sell. Primo owns, installs, leases, maintains, filters, sanitizes, repairs, bills, and sometimes monitors devices. Rolling cancellation lowers sales friction but makes retention depend on convenience, service, price, moves, and cross-sell. Home/business reach reduces office concentration but fragments routes and creates internal purchase, refill, exchange, and delivery substitutes. Cancelled equipment must be recovered and redeployed.